

Rates Turned Up Just as the Channel Refilled

From the desk: The six weeks to the end of September produced two sets of numbers that point in opposite directions. Builders shipped. Malibu closed its fiscal fourth quarter with net sales up 42.7 per cent to \$295.5 million on unit volume up 19.2 per cent to 1,456 boats, with Cobalt units up 18.9 per cent and Saltwater Fishing up 2.2 per cent ([Malibu Boats 8-K](#)). MasterCraft, in its first partial quarter owning Chaparral and Robalo, reported net sales of \$129.9 million, up 21.5 per cent before the \$33.3 million the acquired brands contributed, with Performance and Wake units up 26.1 per cent ([MasterCraft 8-K](#)). Retail did not follow. MarineMax's June-quarter same-store sales fell 7 per cent on revenue of \$611.3 million ([MarineMax 8-K](#)), and OneWater cut its full-year outlook on the view that the industry would finish the fiscal year down high single digits ([OneWater 8-K](#)). Then the cost of carrying the difference changed. On 16 September the Federal Open Market Committee voted 12-0 to **raise** the target range by a quarter point to 3.75-4.00 per cent, stating that inflation remains elevated ([Federal Reserve](#)). The bank prime loan rate went to 7.00 per cent the following day ([U.S. Bancorp](#)), and the ten-year Treasury constant maturity closed September at 5.26 per cent ([Federal Reserve H.15](#)).

In May this desk argued that the ownership map was changing faster than demand. It still is — THOR used its fiscal 2026 annual report to flag consolidation in its supplier base as a risk and to name LCI Industries as a major supplier of frames, axles, slide-outs and upholstered furniture ([THOR Industries Form 10-K](#)), which is the first time an original-equipment manufacturer of that size has put the Patrick-LCI combination on the record as a cost question. But the binding constraint has moved. This issue argues that the fight that matters between now and the spring shows is not allocation and not discount: it is carry. The featured piece does the arithmetic on what the September move costs per unit and per retail contract. The risk pages set out what could go wrong in the United States — where a below-normal hurricane season ([NOAA](#)) has been the only free gift of the year — and globally, where on-highway diesel at \$6.382 a gallon ([EIA](#)) and a Mediterranean charter market booking inside thirty days ([Northrop & Johnson](#)) are now the same story. The profile is MasterCraft, because its first post-close quarter shows what integration actually costs.

FEATURED STORY

The Carry Cost of a Channel That Just Refilled

The shipments were real

Strip out the acquisitions and the June quarter was still a wholesale quarter. Malibu's Cobalt segment shipped 18.9 per cent more units and its Saltwater Fishing segment 2.2 per cent more, both attributed in the release to higher wholesale shipments as dealer inventory firmed in parts of the portfolio; only the Malibu segment itself shipped fewer units, down 2.5 per cent on lower retail activity ([Malibu Boats 8-K](#)). MasterCraft's Performance and Wake unit volume rose 26.1 per cent to 444 boats in a quarter in which its Leisure pontoon unit volume fell 11.9 per cent ([MasterCraft 8-K](#)). Brunswick, reporting a quarter earlier, described boat and engine pipelines as lean and fresh and consolidated net sales up 8 per cent to \$1,557.8 million ([Brunswick 8-K](#)).

The retail side of the same quarter looks nothing like that. MarineMax revenue fell 7.0 per cent to \$611.3 million on a 7 per cent same-store decline, and the company reduced inventories 13.0 per cent year on year to \$788.6 million ([MarineMax 8-K](#)). OneWater revenue fell 4.0 per cent to \$530.7 million with same-store sales down 2 per cent and inventory down to \$485.5 million from \$517.1 million ([OneWater 8-K](#)). Both of the large public retailers took units out while two of the builders put units in. That gap does not disappear; it relocates, onto the balance sheets of the private rooftops that do not publish.

The disagreement is not about demand. Malibu's chief executive, Steve Menneto, described "macro disruptions that continue to pressure the payment buyer" as a near-term headwind to any inflection in the cycle, in the same release that guided fiscal 2027 net sales to \$1.08 billion to \$1.12 billion ([Malibu Boats 8-K](#)). The disagreement is about who funds the interval between the shipment and the payment buyer's return.

Floorplan is a time cost before it is a price cost. At a prime-based rate of 8 per cent, a \$90,000 wholesale unit costs about \$3,600 to carry for six months; the 25 basis points added on 17 September adds roughly \$113 of that. Rate sources: Federal Reserve H.15 and U.S. Bancorp.

What the money now costs

Three numbers set the new baseline. The federal funds target range is 3.75–4.00 per cent after a unanimous increase on 16 September ([Federal Reserve](#)). The bank prime loan rate is 7.00 per cent and the effective federal funds rate 3.88 per cent, with the ten-year Treasury constant maturity at 5.26 per cent and the two-year at 4.89 per cent on 29 September ([Federal Reserve H.15](#)). Floorplan prices off the short end; retail marine paper, written at fifteen and twenty years, prices much closer to the long end — and the long end has moved further than the policy rate.

Do the arithmetic on your own book rather than on the industry's. On an average floorplan balance of \$20 million, the September quarter-point adds \$50,000 of annual interest before your lender touches the spread at renewal. On a single \$90,000 wholesale unit it adds about \$113 across a six-month hold — small, until you multiply it by the units you took in the June and September allocations and by the fact that this is the second consecutive quarter in which the curve moved against you. On the retail side, a \$75,000 contract over 240 months costs roughly \$639 a month at 8.25 per cent and \$651 at 8.50 per cent. Twelve dollars does not lose a deal on its own. It loses deals when it lands on a buyer who is also paying \$4.465 a gallon for regular gasoline, up \$1.347 on the year ([EIA](#)).

There is one offset worth naming: both large retailers termed out. MarineMax refinanced \$1.49 billion of senior secured credit facilities, extending maturities to 2031 and lowering borrowing costs, and cut interest expense to \$14.3 million, or 2.3 per cent of revenue ([MarineMax 8-K](#)). Malibu closed a refinancing in July that extends its maturity through 2031 ([Malibu Boats 8-K](#)). OneWater brought adjusted net debt leverage to 3.7 times from 5.8 times a year earlier, hitting its fiscal-year target early ([OneWater 8-K](#)). The listed balance sheets went into this hike prepared. Most private rooftops did not refinance anything in 2026.

Where the margin actually came from

The margin headlines of the last six weeks are better than the demand underneath them, and part of the difference is one-time. MarineMax's gross margin rose 530 basis points to 35.7 per cent — but roughly 110 basis points of that came from a tariff refund, most of it relating to boat sales recorded earlier in the fiscal year ([MarineMax 8-K](#)). Brunswick expects approximately \$40 million of incremental full-year tariffs against \$25 million to \$30 million of net refunds under the International Emergency Economic Powers Act, inclusive of the compensation effect ([Brunswick 8-K](#)). A refund is cash. It is not a margin structure, and it does not recur on the same line next year.

The durable part is mix. MarineMax attributed its expansion to superyacht services, marinas, parts and service, and finance and insurance alongside better boat margins. OneWater's gross margin rose 70 basis points to 24.0 per cent on favourable product mix, while its finance and insurance income held at \$17.3 million against total revenue of \$530.7 million, and service, parts and other fell 12.8 per cent largely on the Ocean Bio-Chem divestiture ([OneWater 8-K](#)). Brunswick's Engine Parts and Accessories segment grew sales 9 per cent and expanded adjusted operating margin 200 basis points, and Freedom Boat Club reached its 450th global location with first-half trips up a record 13 per cent ([Brunswick 8-K](#)).

That is the shape of the recovery on offer: participation revenue is growing while unit revenue is not. It is also the shape of a business that is more exposed to fuel than it was. Freedom's trips, your service bays, your fuel dock and your charter fleet all run on a gallon that costs what it costs.

Key takeaway

The last cycle taught the industry to fight about allocation. This one will be decided on carry. Pull two numbers before the end of the week. First, your average floorplan balance over the trailing twelve months, multiplied by 0.25 per cent — that is the annualised cost the 16 September increase added before your lender re-prices the spread, and on a \$20 million average balance it is \$50,000 a year you did not budget. Second, the share of your current units that have been on the lot longer than the curtailment step in your agreement: those are the units where the September move compounds rather than annoys, because you are paying the new rate on a unit already priced at last spring's expectations. Then set your model-year 2027 order against both. Brunswick says pipelines are lean and fresh and Malibu and MasterCraft both shipped double-digit unit growth into the June quarter; one of those statements is about the manufacturer's pipeline and the other is about yours. If you are going to be long inventory into a market OneWater expects to finish the year down high single digits, be long the units that move at retail and short everything else, because the interest clock no longer forgives a slow turn. (\$75,000 over 240 months: \$639 a month at 8.25 per cent, \$651 at 8.50 per cent.)

By the numbers

UNITED STATES

- **Federal funds target range** 3.75%–4.00% · +25 basis points, 16 September (Federal Reserve)
- **Bank prime loan rate** 7.00% · up from 6.75% (Federal Reserve H.15)
- **Ten-year Treasury constant maturity** 5.26% · 29 September (Federal Reserve H.15)
- **MarineMax fiscal third-quarter revenue** \$611.3M · –7.0% (MarineMax Form 8-K)
- **MarineMax inventories at 30 June** \$788.6M · –13.0% (MarineMax Form 8-K)
- **OneWater adjusted net debt leverage** 3.7× · from 5.8× a year earlier (OneWater Marine Form 8-K)
- **Malibu Boats fiscal fourth-quarter net sales** \$295.5M · +42.7% (Malibu Boats Form 8-K/A)
- **MasterCraft fiscal fourth-quarter net sales** \$129.9M · +63.4% (+21.5% excluding Marine Products) (MasterCraft Form 8-K)
- **US on-highway diesel, 28 September** \$6.382/gal · +\$2.628 year on year (U.S. Energy Information Administration)

GLOBAL

- **Brent spot, EIA second-half 2026 forecast** ~\$90/bbl · \$74/bbl forecast average for 2027 (EIA Short-Term Energy Outlook)
- **Global oil inventory draw, year to date** –400 million barrels · still falling into year-end (EIA Short-Term Energy Outlook)
- **Superyacht brokerage sales, August (24m and above)** €823.4M · 40 transactions, from €414M (Boat International BOATPro)
- **Sanlorenzo first-half order intake** €496.4M · +18.3% (Sanlorenzo first-half 2026 results)
- **Ferretti Group first-half order intake** €341.4M · –26.9% (Superyacht Investor)
- **Ferretti net backlog at 30 June** €564.9M · –25.7% (Yachtbuyer)
- **Charter starts, January to August** +20.8% · booked days +18.9% (Northrop & Johnson)
- **Charter bookings taken in August** 741 · –33.9% year on year, –32.6% on July (Northrop & Johnson)
- **Charter yachts on display, Monaco Yacht Show** 39 · from 52 in 2025 (YachtCharterFleet)

UNITED STATES RISKS

The inventory risk this quarter is not the level, it is the ownership. The two listed retailers reduced stock — MarineMax to \$788.6 million, down 13.0 per cent, and OneWater to \$485.5 million from \$517.1 million ([MarineMax](#), [OneWater](#)) — while builders shipped units up 19.2 per cent at Malibu and 26.1 per cent in MasterCraft's Performance and Wake segment ([Malibu](#), [MasterCraft](#)). The private channel absorbed the difference into a 7.00 per cent prime rate ([Federal Reserve H.15](#)) following the 16 September increase to a 3.75–4.00 per cent target range ([Federal Reserve](#)), with the ten-year at 5.26 per cent repricing long-dated retail paper at the same time. Fuel is the second compounding factor: regular gasoline at \$4.465 a gallon is \$1.347 above a year ago and diesel at \$6.382 is \$2.628 above, with Florida regular at \$4.282 ([EIA](#)). Margin comfort is partly borrowed — about 110 basis points of MarineMax's 530-basis-point expansion came from a tariff refund on earlier sales, and Brunswick's outlook carries roughly \$40 million of incremental full-year tariffs against \$25–30 million of refunds under the International Emergency Economic Powers Act ([Brunswick](#)). Weather has been the only clean positive: NOAA forecast a below-normal Atlantic hurricane season ([NOAA](#)), which has spared the southeastern yards, marinas and hull books a repair-and-total cycle — but the season runs to 30 November, and insurers price the next renewal off exposure growth, not off one quiet year. Plan on OneWater's working assumption of industry retail down high single digits and test whether your December curtailments clear at that run rate.

GLOBAL RISKS

The global risk runs through the fuel bill and the order book, and both trace back to the same conflict. The EIA expects Middle East crude production to stay below pre-conflict averages until the second quarter of 2027 as flows through the Strait of Hormuz only gradually recover, with Brent averaging around \$90 a barrel through the second half of 2026 after \$91 in August, and global inventories already down an estimated 400 million barrels this year ([EIA Short-Term Energy Outlook](#)). Distillate is the acute point: EIA forecasts US distillate inventories below 100 million barrels and beneath the five-year low through much of 2027, which is what has put on-highway diesel at \$6.382 a gallon ([EIA](#)) and what will set bunker quotes and charter advanced provisioning allowances for the Caribbean season. Demand is holding but its shape has changed: January-to-August charter starts are 20.8 per cent ahead of 2025 and booked days 18.9 per cent ahead, yet only 741 bookings were taken in August, down 33.9 per cent on August 2025, with 44.8 per cent of those bookings for 2027 or later against 17.5 per cent in July ([Northrop & Johnson](#)). The new-build order book has split cleanly. Sanlorenzo lifted first-half order intake 18.3 per cent to €496.4 million with order backlog of €1,498.9 million ([Sanlorenzo](#)), while Ferretti's intake fell 26.9 per cent to €341.4 million with no superyacht orders at all in the half and net backlog down 25.7 per cent to €564.9 million ([Superyacht Investor](#)), prompting a revenue guidance cut to €1.2–1.24 billion ([Yachtbuyer](#)). Brokerage absorbed some of that appetite — €823.4 million across 40 sales of 24 metres and above in August, roughly double a year earlier ([Boat International](#)). If you are a yard or a broker, the exposure is concentration: one weak intake half at a large group now moves refit, brokerage supply and crew availability together.

THREE ACTION STEPS

What to do this quarter

1**Re-run your floorplan model at prime 7.00 per cent and ask your lender what the spread does at renewal.**

The prime rate moved to 7.00 per cent on 17 September ([U.S. Bancorp](#)) and the Federal Reserve's own series confirms it held there through month-end ([Federal Reserve H.15](#)). Take the trailing twelve-month average of your floorplan balance and multiply by 0.0025: that is the annual cost of the September move alone, \$50,000 on a \$20 million average balance. Then list every unit past its first curtailment step and price the remaining hold at the new rate rather than the rate you quoted the sales manager in April. Bring that schedule to the lender conversation before year-end, because the base rate is the part you cannot negotiate and the spread and curtailment timing are the parts you can. Ask explicitly whether the facility reprices on prime or on a term rate — the two-year Treasury at 4.89 per cent and the ten-year at 5.26 per cent are not moving in lockstep with policy, and a term-priced facility behaves differently from here.

2**Separate your tariff recoveries from your margin before you set 2027 pay plans.**

Roughly 110 basis points of MarineMax's 530-basis-point gross-margin expansion came from a tariff refund, most of it on boats sold earlier in the fiscal year ([MarineMax 8-K](#)); Brunswick's updated outlook assumes about \$40 million of incremental full-year tariffs offset by \$25–30 million of net refunds under the International Emergency Economic Powers Act ([Brunswick 8-K](#)). If your own gross profit this year includes duty drawback, refund accruals or a supplier credit tied to the same programme, carve it into a separate line now and set commission, bonus and covenant tests off the line without it. The structural part of the margin story — service, parts, marina, finance and insurance, and shared-access programmes — is the part that repeats. Brunswick's parts and accessories segment expanded adjusted operating margin 200 basis points and Freedom Boat Club passed 450 locations with first-half trips up 13 per cent. Build the plan on that, not on a refund.

3**Quote fuel as a disclosed line and open your 2027 charter calendar this month.**

Diesel at \$6.382 a gallon is \$2.628 above a year ago and gasoline at \$4.465 is \$1.347 above ([EIA](#)), and the EIA expects distillate inventories to stay beneath the five-year low through much of 2027, with Brent near \$90 for the balance of this year ([EIA Short-Term Energy Outlook](#)). For charter and shared-access operators, that argues for an explicit, indexed fuel line in the contract rather than a padded day rate that looks uncompetitive on a comparison sheet. On the booking side, the window has split: 66.7 per cent of July bookings were for same- or next-month departures, but 43 per cent of all August bookings were for 2027 charters ([Northrop & Johnson](#)). Put your 2027 Mediterranean weeks and your Caribbean inventory in front of clients now — Nassau was already the third-busiest August embarkation point — while holding deliberate gaps for the late-booking half of the market.

INDUSTRY PLAYER PROFILE**MasterCraft Boat Holdings, Inc. (NASDAQ: MCFT)**

The first reported quarter after the Marine Products combination shows what integration costs before it pays.

MasterCraft closed its merger with Marine Products Corporation on 15 May 2026, bringing Chaparral and Robalo alongside MasterCraft, Crest and Balise and creating a new Recreation and Sport Fishing segment ([MasterCraft Form 8-K](#)). The fiscal fourth quarter ended 30 June 2026 is the first period that contains it. Consolidated net sales were \$129.9 million, up 63.4 per cent, of which \$33.3 million was incremental from the acquired brands; excluding them, net sales still rose 21.5 per cent. Consolidated unit volume was 946, up 66.0 per cent, with Recreation and Sport Fishing contributing 310 units at \$108,000 of net sales per unit against \$190,000 for Performance and Wake.

The reported profit tells the other half. The quarter carried a \$10.1 million non-cash impairment of intangible assets in the Leisure pontoon segment and \$11.0 million of acquisition-related expenses, producing a loss from continuing operations of \$7.0 million, or \$(0.35) a diluted share, against adjusted net income of \$13.5 million, or \$0.67. Adjusted EBITDA was \$20.5 million at a 15.8 per cent margin, up from 12.0 per cent. For the full fiscal year, net sales were \$348.9 million and adjusted EBITDA \$45.6 million against \$24.4 million. Gross margin fell 60 basis points in the quarter, held down by a \$2.6 million inventory step-up charge, even as it rose 290 basis points across the year.

Why it matters now

The balance sheet is the part dealers should read. Inventories went from \$30.5 million to \$82.3 million, goodwill from \$28.5 million to \$134.1 million, and total assets from \$259.9 million to \$500.4 million, with cash of \$43.9 million and share count up from 16.4 million to 24.4 million ([MasterCraft Form 8-K](#)). A company with that much more working capital in the system behaves differently in an allocation conversation than the pre-merger MasterCraft did, and it is doing so while the Leisure segment — where it just impaired intangibles and shipped 11.9 per cent fewer units — is the softest part of the portfolio.

It also changes the reporting calendar you plan against. In June the company announced a change of fiscal year-end from 30 June to 31 December, with a transition report covering July to December 2026. Guidance for that six-month period is net sales of \$287 million to \$291 million, adjusted EBITDA of \$29 million to \$32 million and adjusted earnings per share of \$0.66 to \$0.76, with about \$147 million of net sales and roughly \$16 million of adjusted EBITDA in the first of the two quarters. That is a company telling you it expects the back half of the calendar year to be front-loaded.

The wider context is supplier-tier consolidation moving the same way. Patrick Industries and LCI Industries agreed an all-stock merger on 30 June 2026, targeting more than \$150 million of run-rate cost synergies within three years on pro forma revenue of about \$8.1 billion, expected to close in the first half of 2027 ([LCI Industries, Trade Only Today](#)). THOR's fiscal 2026 Form 10-K now lists consolidation in its supplier base as a risk and names LCI as a major supplier of key components ([THOR Industries](#)).

Watch for

Three things over the next two reporting dates. First, whether the Leisure impairment is the end of the pontoon write-down or the first instalment: an intangible impairment driven by "updated projections" is a statement about forecast retail in that category, and the segment's unit volume fell 11.9 per cent in the quarter and 3.9 per cent across the year. Second, whether the \$82.3 million inventory position is finished goods at the plant or allocation already pushed to rooftops — the distinction decides who pays the carry at a 7.00 per cent prime rate ([Federal Reserve H.15](#)). Third, the transition-period print itself: against guidance of roughly \$147 million of net sales in the first transition quarter, the comparison runs through the autumn show season, and the Fort Lauderdale show has historically been decisive for the sport-fishing and sportboat brands MasterCraft has just bought — MarineMax attributed post-pandemic record unit sales at that show in its fiscal 2025 fourth-quarter release ([MarineMax](#)). Dealers carrying both a legacy MasterCraft franchise and a Chaparral or Robalo franchise should also watch for the first consolidated dealer agreement and floorplan subvention terms; that is where a merger stops being a press release.

VOICES FROM THE FIELD

Reader submissions

Helm & Horizon runs on what practitioners can see before it reaches a filing. For the December issue we want three specific things. From dealers: what your floorplan lender actually did after 16 September — base rate, spread, curtailment schedule, and whether the advance rate on non-current units moved. From brokers and charter managers: your own booking-window and days-on-market data for the autumn, particularly whether the shift we saw in the Northrop & Johnson August figures — 43 per cent of bookings written for 2027 — is showing up in your Caribbean book. From yards, refit facilities and marina operators: what a diesel price of \$6.382 a gallon ([EIA](#)) has done to your fuel-dock volumes, your tender and chase-boat operating budgets, and your advanced provisioning allowance disputes.

We publish aggregated and anonymised figures by default, and we will not print a number we cannot tie to a document, a dashboard export or a named operator who agrees to be named. If you can send the underlying extract rather than the conclusion, send the extract — a dealer management system report, a lender term sheet with the pricing visible, a charter booking log with client details removed. Corrections and disagreements are equally welcome, including about this issue: if you think the carry argument overstates the problem because your rooftops are funded on term debt rather than prime-based floorplan, say so and show the structure. Reply to the editorial address on your subscription confirmation by 20 November to be considered for the December edition.

— The Helm & Horizon editors

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